

Image 4.1: Clement Attlee, Prime Minister of UK (1945–51)
Source: Creative Commons

The public sector borrowing requirement took a big jump and there was tremendous pressure on the country's finances. Britain's transition to a welfare state, as promised by Attlee, required the diversion of resources in order to establish the social services, universal secondary education and the National Health Service. However, the country's global commitments began to falter. It decided to abandon the fight against communism in Greece and pulled back from supporting the Turkish economy. Britain agreed to transfer the Palestinian Mandate to the UN by June 1948. This date also coincided with the transfer of power in India to a successor government or joint governments if that were to be the case.